ITIL V4 Foundation

Module 3: The ITIL Service Value System

In this module:

- ✓ Service Value System (SVS) Overview
- ✓ The 7 Guiding Principles (Detailed Analysis)
- ✓ Governance in Service Management
- ✓ The Service Value Chain (6 Activities)
- ✓ Continual Improvement Model
- ✓ Extensive Case Studies & Examples

ITIL V4 by NARAHARI

Introduction & Overview

Module Introduction

Welcome to Module 3, the most extensive and critical section of your ITIL 4 Foundation journey. While Module 1 introduced basic concepts and Module 2 covered the Four Dimensions, this module explains **how** an organization actually works to create value. The Service Value System (SVS) is the operating model for service management.

In the modern digital economy, organizations cannot operate as a collection of isolated silos. The development team cannot work separately from the operations team; the security team cannot be a blocker at the end of a process; and business strategy cannot be disconnected from IT execution. The SVS provides the architecture that connects all these components into a unified system focused on value co-creation.

WHY SVS MATTERS

Traditional IT service management (ITIL v3) focused heavily on processes. ITIL 4 shifts the focus to a **value system**. This change acknowledges that value is not created by following a rigid process step-by-step, but by flexibly combining different activities, practices, and teams to meet specific needs. The SVS enables organizations to be agile, resilient, and co-creative.

ITIL V4 by NARAHARI

In this comprehensive module, we will explore every component of the SVS in extreme detail. We will move beyond simple definitions to understand deep practical applications, using real-world case studies from companies like Zoom, Netflix, Spotify, Microsoft, and others to illustrate how these concepts drive success in the real world.

Evolution from ITIL v3 to ITIL 4

Understanding the shift from v3 to v4 helps clarify the purpose of the SVS. In ITIL v3, the "Service Lifecycle" (Strategy, Design, Transition, Operation, CSI) was often interpreted as a linear waterfall model. You planned, then designed, then built, then operated. In today's Agile and DevOps world, this is too slow.

ITIL 4 replaces the Lifecycle with the **Service Value System** and the **Service Value Chain**. These models allow for iterative, non-linear workflows. You might design, build, and operate a small feature in a single day, then improve it the next. The SVS supports this speed while maintaining governance and reliability.

ITIL V4 by NARAHARI

Service Value System Overview (M3.L1)

What is the SVS?

The ITIL Service Value System (SVS) describes how all the components and activities of an organization work together as a system to enable value creation. It ensures that the organization continually co-creates value with all stakeholders through the use and management of products and services.

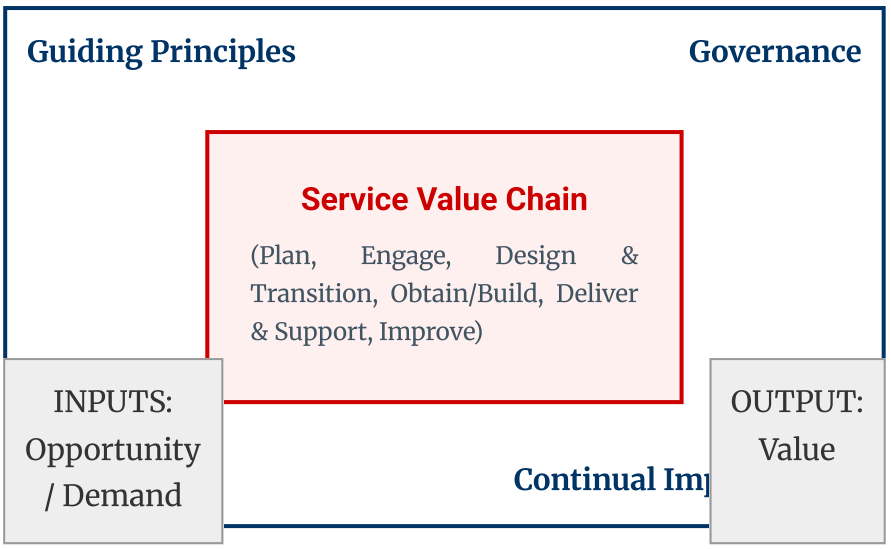
> **DEFINITION: SERVICE VALUE SYSTEM**
>
> A model representing how all the components and activities of an organization work together to facilitate value creation. It transforms **Opportunity and Demand** into **Value**.

The Five Major Components

The SVS is composed of five core components that must work together. If any component is missing or weak, the system fails to produce optimal value.

ITIL V4 by NARAHARI

Figure 3.1: The ITIL Service Value System Components



Component	Description & Purpose
1. Guiding Principles	Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure. They create a shared culture.
2. Governance	The means by which an organization is directed and controlled. It ensures alignment with strategies and compliance with regulations.
3. Service Value Chain	A set of interconnected activities that an organization performs to deliver a valuable product or service to its consumers and to facilitate value realization.
4. Practices	Sets of organizational resources designed for performing work or accomplishing an objective. (e.g., Incident Management, Change Enablement).
5. Continual Improvement	A recurring organizational activity performed at all levels to ensure that an organization's performance continually meets stakeholders' expectations.

Inputs and Outputs

ITIL V4 by NARAHARI

The SVS is an open system—it interacts with the external environment.

- **Opportunity:** Options or possibilities to add value for stakeholders or otherwise improve the organization. (e.g., A new market opening, a new technology like AI).
- **Demand:** The need or desire for products and services among internal and external consumers. (e.g., Customers wanting faster delivery, employees needing new laptops).
- **Value:** The perceived benefits, usefulness, and importance of something. This is the ultimate output of the entire system.

REAL-WORLD EXAMPLE: NETFLIX AND SVS THINKING

Netflix does not just have a "streaming department." They operate a complete Service Value System.

- **Opportunity/Demand:** Viewers want to watch movies offline on airplanes (Demand). New compression technology allows smaller file sizes (Opportunity).
- **Guiding Principles:** "Focus on Value" drives them to build the download feature.
- **Governance:** Executives approve the budget and ensure content licensing allows downloads.
- **Service Value Chain:** Teams Engage with users, Plan the feature, Design the interface, Build the code, Deliver the update to apps.

ITIL V4 by NARAHARI

- **Practices:** Software Development management creates the code; Information Security management ensures downloads can't be pirated.
- **Value:** Customers enjoy movies on flights (Outcome), increasing subscription loyalty (Value).

ITIL V4 by NARAHARI

How SVS Works in Practice

Breaking Down Silos

One of the primary goals of the SVS is to eliminate organizational silos. Silos occur when teams work in isolation—development doesn't talk to operations, security doesn't talk to developers, and management doesn't talk to staff.

The SVS connects these groups through:

- **Shared Principles:** Everyone follows the same rules (e.g., "Collaborate and Promote Visibility").
- **Integrated Value Chain:** Work flows across teams, not just down hierarchy lines.
- **Unified Practices:** Incident management involves the service desk, operations, and developers working together.

Flexibility and Adaptability

The SVS is not a "one size fits all" process. It is a flexible architecture. An organization can create different "Value Streams" within the SVS for different scenarios.

- **Scenario A: Major Incident.** A server crashes. The value stream prioritizes speed. Governance allows emergency changes. The value chain moves directly from Detect to Deliver/Support.
- **Scenario B: New Product Innovation.** The organization wants to launch a new app. The value stream prioritizes research and design. The value

ITIL V4 by NARAHARI

chain spends extensive time in Engage, Plan, and Design before building.

> **EXAM WARNING: SVS VS. WATERFALL**
>
> Do not confuse the SVS with a waterfall methodology. The SVS supports Agile, DevOps, Lean, and traditional methods. It does not dictate a sequence; it provides the components you need to build your own sequence.

Case Study: Spotify's Approach

Spotify is famous for its "Squads and Tribes" model, which is a practical implementation of SVS thinking.

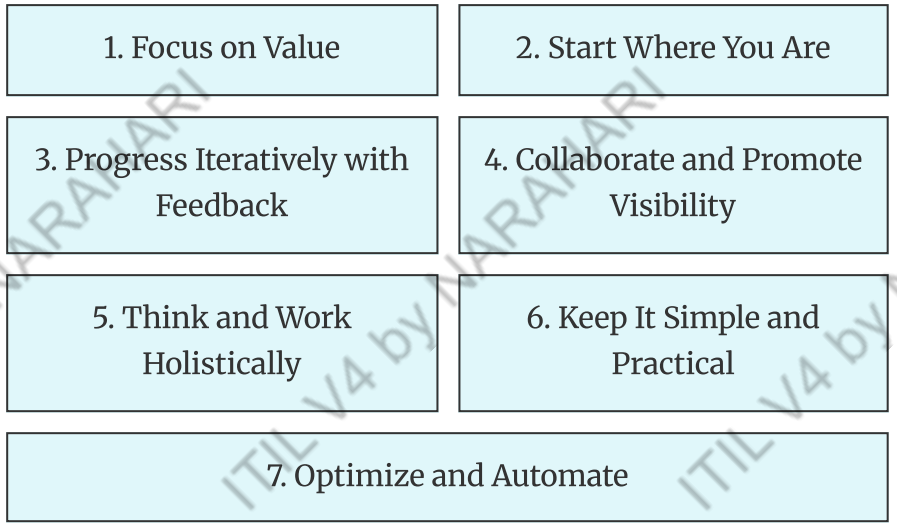
- **Agility:** Each squad creates its own value stream. One squad might work on the "Search" feature, another on "Playlists."
- **Governance:** While squads are autonomous, they align with overall company strategy (Governance) and share common tools (Practices).
- **Continual Improvement:** Retrospectives are held regularly to improve how the squad works.

ITIL V4 by NARAHARI

The 7 Guiding Principles

The Guiding Principles are the most practical part of ITIL 4. They are recommendations that can guide an organization in all circumstances. They are not rules that must be obeyed, but wisdom that should be applied. They embody the culture of modern ITSM.

Figure 3.2: The 7 Guiding Principles



Guiding Principle 1: Focus on Value (M3.L2)

Definition and Core Concept

Everything the organization does must link back, directly or indirectly, to value for itself, its customers, and other stakeholders.

This principle seems obvious, but it is often ignored. Teams frequently focus on "completing tasks,"

ITIL V4 by NARAHARI

"following processes," or "building features" without asking if those things actually create value.

Key Elements

- **Understand the Consumer:** You cannot deliver value if you don't know who the consumer is and what they need.
- **Value is Subjective:** Value is defined by the customer, not the IT department.
- **Customer Experience (CX):** Value includes the entire experience of interacting with the service, not just the technical outcome.

DETAILED CASE STUDY: ZOOM DURING COVID-19

In early 2020, the world shifted to remote work. Video conferencing became essential.

The Market Context: Microsoft Teams, Cisco Webex, and Skype were established enterprise players with more features (security controls, file sharing, integration). Zoom was a smaller player.

Zoom's Focus on Value: Zoom understood that for the mass market (teachers, families, small businesses), the primary value was NOT security complexity or deep integration. The value was **Simplicity and Reliability**.

The Outcome: While competitors required logins, software installs, and complex setups, Zoom allowed users to send a link and click to join. "It just works."

ITIL V4 by NARAHARI

Result: Zoom won the market share initially because they focused on the specific value (ease of use) that the new wave of customers needed, rather than feature-richness.

Applying the Principle

To apply this principle, ask these four questions before starting any work:

1. Who is the consumer?
2. Why do they need this service? (What outcome are they seeking?)
3. How does this service help them achieve their goals?
4. What is the cost and risk involved for them?

CASE STUDY: NETFLIX RECOMMENDATION ENGINE

Netflix realized users were spending too much time browsing and not watching. This reduced value (frustration). Instead of buying more movies (adding content), they invested in the Recommendation Algorithm.

Value Created: Users found things to watch faster. Satisfaction increased. Churn decreased.

Lesson: Focusing on value sometimes means improving the experience of consumption, not just the product itself.

EXAM TIP: FOCUS ON VALUE

ITIL V4 by NARAHARI

> If an exam scenario involves "understanding user needs," "customer experience," "talking to stakeholders," or "mapping outcomes," the answer is likely **Focus on Value**.

ITIL V4 by NARAHARI

Guiding Principle 2: Start Where You Are (M3.L3)

Definition and Core Concept

Do not start from scratch and build something new without considering what is already available to be leveraged.

When facing a problem or a new initiative, the temptation is often to wipe the slate clean and build a new system. This principle advises against that. It urges you to assess the current state, keep what works, and only replace what is broken.

Why "Starting Over" is Dangerous

- **Waste:** You discard value that already exists.
- **Cost:** Building from scratch is almost always more expensive than improving.
- **Time:** It takes longer to rebuild than to refactor.
- **Risk:** New systems have unknown bugs; old systems have known behaviors.

> **DETAILED CASE STUDY: MICROSOFT TEAMS EVOLUTION**
>
> When Microsoft wanted to compete with Slack, they didn't build a messaging platform from zero.
>
> - They assessed their current assets: Skype for Business (video/chat), SharePoint (file storage), Exchange (backend).

ITIL V4 by NARAHARI

- They **Started Where They Were** by building Teams as a unified interface ON TOP of these existing, proven technologies.
- **Result:** They launched a robust enterprise product much faster than if they had coded a new video engine, a new file system, and a new chat protocol from scratch.

The Assessment Process

To apply this principle, follow these steps:

1. **Observe Directly:** Don't rely on reports or metrics alone. Go to the "Gemba" (the place where work happens). Watch how people actually use the current system.
2. **Measure:** Use data to understand current performance.
3. **Gap Analysis:** Compare current state to desired state.
4. **Reuse:** Identify what can be kept, what can be improved, and what must be replaced.

CASE STUDY: AIRBNB UI MODERNIZATION

When Airbnb updates its app, it doesn't delete the old code base. It uses A/B testing on existing pages. It keeps the backend booking engine (which works) and only updates the frontend interface (where the improvement is needed). This minimizes risk and disruption.

ITIL V4 by NARAHARI

KEY TAKEAWAY

"Start Where You Are" is about **Objectivity**. You must look at the current state without bias. Don't keep things just because "we've always done it that way," but don't destroy things just because "we want something new."

ITIL V4 by NARAHARI

Guiding Principle 3: Progress Iteratively with Feedback (M3.L4)

Definition and Core Concept

Do not attempt to do everything at once. Organize work into smaller, manageable sections that can be executed and completed in a timely manner.

This principle is the heart of Agile. Instead of a massive "Big Bang" deployment that takes years (and often fails), break the work into iterations (sprints, phases).

The Feedback Loop

Iteration without feedback is just slow failure. The purpose of iteration is to create a **Feedback Loop**.

Action -> Output -> Feedback -> Adjustment -> Next Action

Feedback allows you to correct course early. If you build the wrong thing in Month 1, you fix it in Month 2. In a waterfall project, you wouldn't know you built the wrong thing until Month 12.

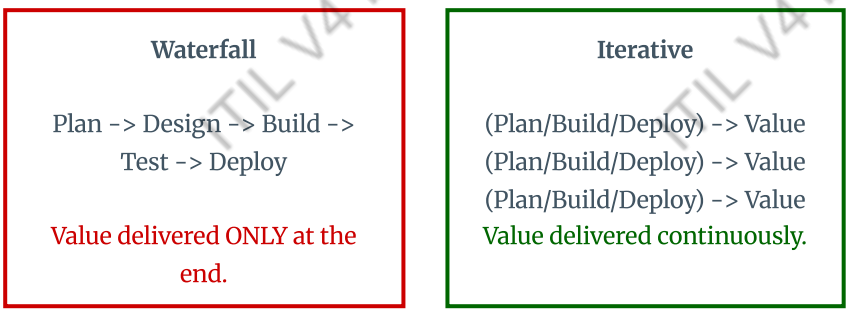
> **DETAILED CASE STUDY: SELF-SERVICE SUPPORT PORTAL**
>
> **Scenario:** An IT department wants to build a portal for users to request help, replacing email.
>
> **Wrong Approach (Big Bang):** Spend 12 months building a portal with 500 different request forms. Launch it to everyone at once. *Result: Users hate it, it's confusing, and it breaks.*

ITIL V4 by NARAHARI

Correct Approach (Iterative):

- **Iteration 1 (2 weeks):** Build a portal with ONE form: "Request Laptop Upgrade." Release to 50 users.
- **Feedback:** Users say the form asks for "Serial Number" but they don't know where to find it.
- **Adjustment:** Add a picture showing where the serial number is.
- **Iteration 2 (2 weeks):** Add "Reset Password" and "Install Software." Release to 200 users.
- **Result:** Continuous value delivery, low risk, high satisfaction.

Figure 3.3: Iterative vs. Waterfall



Minimum Viable Product (MVP)

This principle supports the concept of MVP: The smallest version of a product that can be used by customers. Use the MVP to validate your assumptions before investing more resources.

ITIL V4 by NARAHARI

EXAM TIP: PROGRESS ITERATIVELY

Look for keywords like "small steps," "feedback loops," "avoiding big bang," "agile," "sprints," or "checking results before proceeding."

ITIL V4 by NARAHARI

Guiding Principle 4: Collaborate and Promote Visibility (M3.L5)

Definition and Core Concept

Working together across boundaries produces results that have greater buy-in, more relevance to objectives, and better likelihood of long-term success.

This principle attacks the "Silo Mentality." It urges teams to share information, involve stakeholders early, and make work visible to everyone.

Three Dimensions of Collaboration

1. **Collaboration:** Working together towards a shared goal.
2. **Communication:** Exchanging information.
3. **Visibility:** Making work, progress, and issues transparent to others.

> **DETAILED CASE STUDY: IDENTITY ACCESS MANAGEMENT ROLLOUT**
>
> **Scenario:** A company needs a new system for employee logins.
>
> **Poor Collaboration:** The Security Team selects and installs a tool in secret. They launch it. HR hates it because it breaks their onboarding process. Employees hate it because it's hard to use on mobile.
>
> **Good Collaboration:**

ITIL V4 by NARAHARI

- Security creates a cross-functional team with HR, IT Ops, and Employee representatives.
- They use a **Kanban Board** (Visibility) to show project status to the whole company.
- They hold weekly open demos.
- **Result:** HR updates their process to match the tool. Employees are trained before launch. Success.

Promoting Visibility

"Work in the open." When work is hidden (e.g., hidden in email threads or private spreadsheets), it creates bottlenecks and duplicate work.

- Use public dashboards.
- Post status updates in open channels (Slack/Teams) rather than direct messages.
- Share roadmaps.

CASE STUDY: ZOOM OPERATIONS

During incidents, Zoom's engineering, support, and PR teams share a single "Virtual War Room" channel. Everyone sees the same information in real-time. This visibility prevents the support team from telling customers "it's fixed" when engineering knows it's not.

ITIL V4 by NARAHARI

Guiding Principle 5: Think and Work Holistically (M3.L6)

Definition and Core Concept

No service, or element used to provide a service, stands alone. The outcomes achieved by the service provider and service consumer will suffer unless the organization works on the service as a whole, not just on its parts.

This connects back to the Four Dimensions. You must consider People, Tech, Partners, and Processes together. Optimizing one part might break the whole.

Systems Thinking

A car engine is complex. If you optimize the engine to be super fast, but you keep the old brakes and tires, the car will crash. You must think of the "Car" as a system. Similarly, IT services are systems.

> **DETAILED CASE STUDY: SLOW APPLICATION RESPONSE**
>
> **Symptom:** Users complain the application is slow.
>
> **Non-Holistic Approach:** The Server Team sees high CPU load and upgrades the server. *Result: No improvement.*
>
> **Holistic Investigation:** An IT manager looks at the end-to-end chain.
>
> - User's Laptop -> VPN -> Network -> Load Balancer -> Web Server -> Database -> Identity

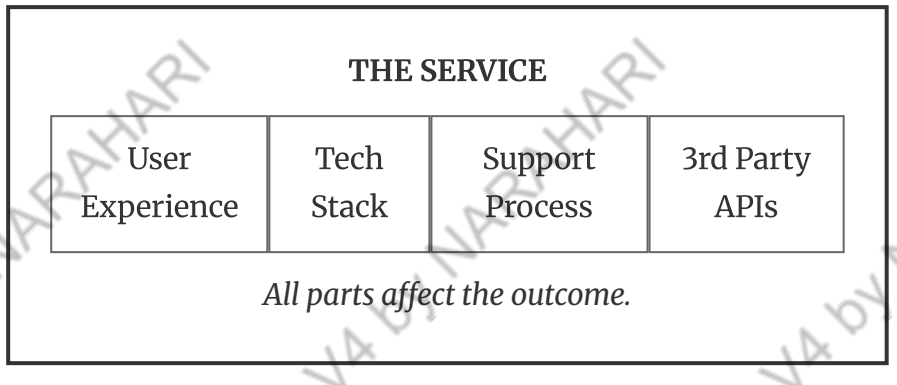
ITIL V4 by NARAHARI

Provider.

Finding: The server CPU was high because the *Identity Provider* was timing out, causing the server to retry connections repeatedly. The bottleneck was an external dependency.

Solution: Fix the Identity Provider configuration. Server upgrade was a waste of money.

Figure 3.4: Holistic View



Integration

This principle drives the need for integration between teams and tools. Automation helps connect disparate parts of the system.

ITIL V4 by NARAHARI

Guiding Principle 6: Keep It Simple and Practical (M3.L7)

Definition and Core Concept

If a process, service, action, or metric provides no value, or produces no useful outcome, eliminate it. In a process or procedure, use the minimum number of steps necessary to accomplish the objective.

Complexity is the enemy of reliability. The more complex a system is, the more ways it can fail. The more complex a process is, the less likely people are to follow it.

The KISS Principle

"Keep It Simple, Stupid" (or "Keep It Short and Simple"). Always ask: "Is this step necessary?"

> **DETAILED CASE STUDY: ESTONIAN E-GOVERNMENT**
>
> Estonia is a digital-first nation. When reviewing their digital services, they found forms were too long.
>
> **Action:** They reviewed 1,200 data fields across various forms.
>
> **Simplification:** They removed 400 unnecessary fields. They realized the government *already had* that data in other databases. They linked the databases instead of asking the user again.

ITIL V4 by NARAHARI

> **Result:** 30% faster form completion. Higher citizen satisfaction. No new technology was bought—they just simplified the process.

The Tea-Making Analogy

Think about making tea at home vs. at a bureaucratic workplace.

- **Home (Simple):** Boil water, put bag in cup, pour water. Drink.
- **Bureaucracy (Complex):** Fill out "Hot Water Request Form." Get manager approval. Verify water temperature compliance. Log tea bag usage in inventory system. Drink cold tea.

Many IT processes look like the bureaucratic tea example. Change management often has 10 approval steps where only 1 is actually checking for risk.

Practical Advice

- Start with an uncomplicated approach and add controls only when needed.
- Respect the time of the people involved.
- Easier to understand = Easier to adopt.

ITIL V4 by NARAHARI

Guiding Principle 7: Optimize and Automate (M3.L8)

Definition and Core Concept

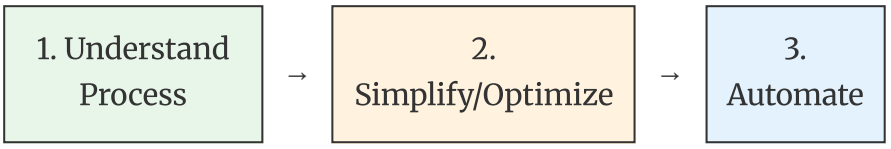
Resources of all types, particularly HR, should be used to their best effect. Eliminate anything that is truly wasteful and use technology to achieve whatever is capable of being done. Human intervention should only happen where it really contributes value.

Crucial Rule: Optimize FIRST, Automate SECOND.

WARNING: AUTOMATING BAD PROCESSES

"Automating an inefficient process just gives you a faster inefficient process." If a process is broken, automating it will just produce errors faster.

Figure 3.5: The Path to Automation



DETAILED CASE STUDY: US VETERANS HEALTH ADMINISTRATION

The Problem: Appointment scheduling was slow and error-prone.

Mistake: They tried to automate the existing schedule immediately. The existing process had

ITIL V4 by NARAHARI

inconsistent rules across clinics.

Result: The automation software scheduled veterans for appointments that didn't exist or double-booked doctors. Chaos ensued.

Correction: They paused automation. They mapped the workflow, standardized appointment slots, and removed redundant approval steps (Optimization). THEN they turned the automation back on.

Success: 40% efficiency gain and happier veterans.

What to Automate?

- Standard, repetitive tasks (e.g., Password resets, software installs).
- Data collection and monitoring.
- Deployments (CI/CD).

What NOT to Automate?

- Complex decision making requiring empathy (e.g., handling an angry VIP customer).
- Processes that are about to change significantly.

ITIL V4 by NARAHARI

Guiding Principles Interaction (M3.L9)

The guiding principles do not exist in a vacuum. They interact with and support each other. You should consult all of them when making decisions.

Principle	Interaction Example
Focus on Value + Keep It Simple	By simplifying a process, you remove non-value-added steps, thereby increasing the overall value (speed/efficiency) for the customer.
Start Where You Are + Optimize and Automate	Assess your current manual scripts (Start Where You Are) before buying a new tool. Optimize those scripts, then Automate their execution.
Collaborate + Think Holistically	You cannot think holistically about a complex system without collaborating with the different teams that own parts of that system.

ITIL V4 by NARAHARI

Governance in the SVS

Governance (M3.L10)

Definition and Purpose

Governance is the system by which an organization is directed and controlled. In ITIL 4, governance is an essential component of the SVS because it ensures that the organization's activities are aligned with its strategic direction.

Governance is the responsibility of the **Governing Body** (Board of Directors, C-Level Execs, Steering Committees).

The Three Core Activities of Governance

ITIL defines three main activities for governance: **Evaluate, Direct, and Monitor** (EDM).

Figure 3.6: The Governance Cycle

- **Evaluate:** The governing body evaluates the organization on a regular basis as stakeholders' needs and external circumstances evolve. (e.g.,

ITIL V4 by NARAHARI

"Should we move to the cloud given new data laws?")

- **Direct:** The governing body assigns responsibility for, and directs the preparation and implementation of, organizational strategy and policies. (e.g., "IT Strategy 2025: Cloud First.")
- **Monitor:** The governing body monitors the performance of the organization and its practices, products, and services. (e.g., "Are we saving money with Cloud First? Are we secure?")

DETAILED CASE STUDY: JPMORGAN CHASE MODEL RISK GOVERNANCE

Context: Banks use AI models for credit scores, trading, and fraud detection. Bad models can lose billions (see 2008 crisis).

Governance Framework: JPMC established a specific governance body for AI Models.

- **Evaluate:** Review every new model proposed by data scientists. Assess risk.
- **Direct:** Set policies: "No model can be deployed without independent validation." "High-risk models need CFO approval."
- **Monitor:** Continually check model performance. If a model starts drifting or showing bias, pull it offline.

Result: This governance enables speed. Data scientists know the rules. They can innovate safely because the guardrails are clear.

ITIL V4 by NARAHARI

CASE STUDY: FINOPS AT OURIBANK

Problem: Cloud costs were spiraling out of control due to lack of oversight.

Governance Action: Implemented FinOps governance.

- **Direct:** Policy set that every cloud resource MUST have an "Owner" tag.
- **Monitor:** Dashboard created showing cost per team.
- **Evaluate:** Monthly review. Teams over budget had to justify or shut down resources.

Result: 60% cost reduction. Governance paid for itself.

Governance vs. Management

Governance sets the direction and rules. **Management** executes the work to achieve the objectives within those rules. The SVS requires both to function.

ITIL V4 by NARAHARI

The Service Value Chain

Service Value Chain Introduction (M3.L11)

Definition

The **Service Value Chain (SVC)** is an operating model which outlines the key activities required to respond to demand and facilitate value realization through the creation and management of products and services.

It is the central element of the SVS. It is the engine.

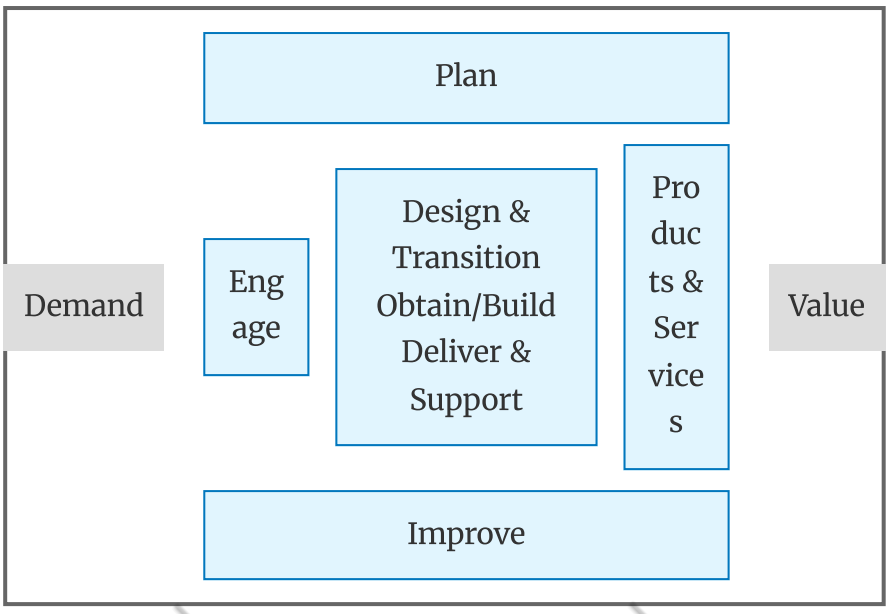
The Six Activities

The SVC consists of six activities that can be combined in many different ways to form "Value Streams."

1. **Plan**
2. **Engage**
3. **Design and Transition**
4. **Obtain/Build**
5. **Deliver and Support**
6. **Improve**

ITIL V4 by NARAHARI

Figure 3.7: The Service Value Chain Activities



ITIL V4 by NARAHARI

Activity 1: Plan (M3.L12)

Purpose: To ensure a shared understanding of the vision, current status, and improvement direction for all four dimensions and all products and services across the organization.

Planning happens at all levels: Strategic (Executive), Tactical (Management), and Operational (Team).

CASE STUDY: TOYOTA FINANCIAL SERVICES CLOUD MIGRATION

When Toyota decided to move to the cloud, they didn't just start moving servers (Obtain/Build). They spent 18 months in the **Plan** activity.

- They assessed their entire application portfolio (Start Where You Are).
- They mapped dependencies (Think Holistically).
- They planned the "waves" of migration to minimize risk.
- They budgeted for training and new tools.

Result: Because of deep Planning, the actual migration (Obtain/Build and Deliver/Support) went smoothly with zero major incidents and stayed on budget.

Activity 2: Engage (M3.L13)

ITIL V4 by NARAHARI

Purpose: To provide a good understanding of stakeholder needs, transparency, and continual engagement and good relationships with all stakeholders.

This activity covers everything involving interaction: Service Desk (engaging with users), Business Relationship Management (engaging with customers), and Supplier Management (engaging with partners).

CASE STUDY: SPOTIFY FAN EXPERIENCE PIPELINE

Spotify's success depends on **Engage**. They don't guess what users want.

- They have beta programs, community forums, and deep analytics.
- They engage with Artists (suppliers) to understand what tools they need.
- They engage with Advertisers.

This continuous loop ensures that when they move to Design, they are designing the right thing.

ITIL V4 by NARAHARI

Activity 3: Design and Transition (M3.L14)

Purpose: To ensure that products and services continually meet stakeholder expectations for quality, costs, and time to market.

This isn't just about "graphic design." It includes architecture, process design, policy design, and the transition (movement) of the service from development to production.

> **CASE STUDY: APPLE IOS RELEASE**
>
> Apple is a master of Design and Transition.
>
> - **Design:** Meticulous attention to UI, security architecture, and battery efficiency.
> - **Transition:** The release process is a massive global transition. Beta testing with developers ensures apps are ready. Carrier updates are coordinated. Genius Bar staff are trained (knowledge transfer).
>
> Without this rigorous activity, a new iPhone launch would be chaos.

Activity 4: Obtain/Build (M3.L15)

Purpose: To ensure that service components are available when and where they are needed, and meet agreed specifications.

ITIL V4 by NARAHARI

This is where you acquire the "stuff." You either **Build** it yourself (coding, manufacturing) or **Obtain** it from a supplier (buying hardware, licensing SaaS).

CASE STUDY: LINKEDIN SKILLS-BASED JOBS

LinkedIn wanted a feature to match jobs based on skills, not just job titles.

- **Build:** They used internal AI experts to build the matching algorithm (proprietary advantage).
- **Obtain:** They likely used cloud infrastructure (obtained from Azure/LinkedIn data centers) rather than building new servers from scratch.

Modern IT is almost always a mix of building custom code and obtaining standard infrastructure/libraries.

ITIL V4 by NARAHARI

Activity 5: Deliver and Support (M3.L16)

Purpose: To ensure that services are delivered and supported according to agreed specifications and stakeholders' expectations.

This is the "Live" environment. It includes resolving incidents, fulfilling service requests, monitoring performance, and maintenance. This is where the customer actually realizes value.

> **CASE STUDY: NETFLIX STREAMING OPERATIONS**
>
> For Netflix, **Deliver and Support** is critical.
>
> - **Deliver:** Content Delivery Networks (CDNs) push video files to ISPs globally so movies start instantly.
> - **Support:** Automated self-healing systems detect server failures and reroute traffic before users notice. If a user calls support, agents have tools to diagnose network issues.
>
> If Deliver and Support fails, the screen goes black, and value is destroyed instantly.

Activity 6: Improve (M3.L17)

Purpose: To ensure continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.

ITIL V4 by NARAHARI

Improve is not just fixing bugs. It's making things better, faster, cheaper, or safer. It touches every other activity.

CASE STUDY: AWS CONSTANT EVOLUTION

AWS releases thousands of updates a year. Most are small improvements—a slightly faster processor, a cheaper storage tier, a clearer dashboard.

- They improve their **Plans** (Strategy).
- They improve their **Design** methodologies.
- They improve their **Support** chatbots.

This culture of relentless improvement keeps them as the market leader.

ITIL V4 by NARAHARI

Continual Improvement Model

Continual Improvement Model (M3.L18)

ITIL 4 provides a specific, high-level model to guide improvement initiatives. It ensures improvements are structured and aligned with business goals.

Figure 3.8: The Continual Improvement Model

1. What is the vision?
2. Where are we now?
3. Where do we want to be?
4. How do we get there?
5. Take action
6. Did we get there?
7. How do we keep the momentum going?

Detailed Step Breakdown with Example

Scenario: Service Desk is overwhelmed with password reset calls.

Step	Description	Example Application
1. What is the vision?	High-level business direction.	"IT should empower employee productivity, not block it."
2. Where are we now?	Baseline assessment. Data driven.	"40% of calls are password resets. Average wait time is 15 mins."

ITIL V4 by NARAHARI

Step	Description	Example Application
3. Where do we want to be?	Measurable targets (KPIs).	"Reduce password calls to <10%. Wait time <2 mins."
4. How do we get there?	The Plan.	"Implement Self-Service Password Reset tool. Create user guide."
5. Take action	Execute the plan.	Install tool. Email users. Train desk staff.
6. Did we get there?	Measurement & Verification.	"Password calls dropped to 8%. Wait time is 3 mins. Success!"
7. Keep momentum	Institutionalize & Next steps.	"Apply self-service logic to Software Installs next."

ITIL V4 by NARAHARI

Module Summary & Exam Prep

Module Recap

The **Service Value System (SVS)** is the architecture of ITIL 4. It converts Opportunity/Demand into Value.

- **Guiding Principles:** The culture/mindset (7 principles).
- **Governance:** The control/direction (Evaluate, Direct, Monitor).
- **Service Value Chain:** The operating model (6 activities).
- **Practices:** The tools/resources (34 practices).
- **Continual Improvement:** The mechanism for evolution (7 step model).

Exam Tips for SVS

KEY ASSOCIATIONS

- **Focus on Value:** Think "Customer/User needs," "Outcomes," "CX."
- **Start Where You Are:** Think "Assess current state," "Reuse," "Don't reinvent wheel."
- **Iteratively:** Think "Small steps," "Feedback loops," "MVP," "Agile."
- **Collaborate:** Think "Transparency," "Sharing info," "Breaking silos."

ITIL V4 by NARAHARI

- **Holistically:** Think "End-to-End," "Complex systems," "4 Dimensions."
- **Simple:** Think "Remove waste," "Minimum steps," "Outcome-based."
- **Optimize/Automate:** Think "Human vs Machine," "Standardize first."
- **Plan (SVC):** Think "Vision," "Direction," "Understanding."
- **Engage (SVC):** Think "Requirements," "Relationships," "Transparency."
- **Design (SVC):** Think "Architecture," "Quality," "Cost," "Time to market."
- **Obtain (SVC):** Think "Buy vs Build," "Components," "Specifications."
- **Deliver (SVC):** Think "Live Service," "Support," "Operations."

End of Module 3 Notes

ITIL V4 by NARAHARI